

Disclosure Statement at 31 December 2024

This disclosure statement is prepared in accordance with the requirements under the Insurance (Valuation and Capital) Rules and the draft Insurance (Public Disclosure) Rules.

1 Company profile

Authorized insurer's name

HSBC Life (International) Limited

2 Financial position

Balance sheet determined under the Insurance (Valuation and Capital) Rules

(Unit: in HKD thousands)	As at 31 st December 2024			
	Total	Long term business	Of which belongs to: long term business – participating business	Shareholders' fund
Total assets	562,968,792	541,446,720	363,146,122	21,522,072
Cash and deposits	13,316,757	12,385,558	8,294,001	931,199
Debt securities	294,128,531	274,949,950	167,814,910	19,178,581
Equities (including portfolio investments)	169,747,649	168,366,157	154,966,756	1,381,492
Derivative financial instruments	1,212,182	1,211,677	1,119,313	505
Properties	4,197,400	4,197,400	4,197,400	-
Loans and advances	14,191,634	14,191,634	10,530,083	-
Reverse repurchase agreement	-	-	-	-
Other financial assets	3,178,670	3,172,807	1,637,583	5,863
Policyholder's account assets in respect of unit linked products or retirement scheme	40,147,692	40,147,692	-	-
Reinsurance assets	22,793,120	22,793,120	14,725,204	-
Tax assets	-	-	-	-
Other assets	55,157	30,725	(139,128)	24,432
Total liabilities	498,484,629	492,017,610	329,092,111	6,467,019
Insurance liabilities	476,088,259	476,088,259	316,518,143	-
Reinsurance liabilities	2,790,739	2,790,739	886,574	-
Repurchase agreement	9,224,617	9,224,617	8,831,747	-
Derivative financial instruments	629,347	629,347	610,199	-
Other financial liabilities	3,608,743	2,011,296	1,615,893	1,597,447
Tax liabilities	4,509,921	2,008	2,008	4,507,913
Other liabilities	1,633,003	1,271,344	627,547	361,659
Net assets	64,484,163	49,429,110	34,054,011	15,055,053

3 Insurance liabilities

Total insurance liabilities determined under the Insurance (Valuation and Capital) Rules

Insurance Liabilities of Long Term Business

(Unit: in HKD thousands)	As at 31 st December 2024					
	Participating business	Linked long term (Class C)	Retirement scheme category I (Class G)	Retirement scheme category II (Class H)	Other long term business	Total long term business
Total insurance liabilities (gross of reinsurance)	316,518,143	8,031,398	22,631,883	5,313,875	123,592,960	476,088,259
Of which: long term insurance liabilities	316,518,143	8,031,398	22,631,883	5,313,875	123,592,960	476,088,259
Outstanding claims	1,064,058	85,704	97,944	109,422	641,764	1,998,892
Current estimate ¹	312,684,423	7,861,301	22,455,334	5,192,655	121,193,799	469,387,512
Margin over current estimate	728,388	83,661	78,605	11,798	705,276	1,607,728
Prepaid premiums	2,041,274	732	-	-	1,052,121	3,094,127
Other long term insurance liabilities	-	-	-	-	-	-
Of which: general insurance liabilities	-	-	-	-	-	-
Reinsurance assets	14,725,204	1,092	-	-	8,066,824	22,793,120
Reinsurance liabilities	886,574	63,752	-	-	1,840,413	2,790,739

¹ Excludes outstanding claims, prepaid premiums and other long term insurance liabilities which are disclosed separately.

4 Capital adequacy

- (a) Prescribed capital amount at total level and risk capital amount (“RCA”) by sub-risk, determined in accordance with the Insurance (Valuation and Capital) Rules (without applying the transitional arrangement under Part 7 of the Insurance (Valuation and Capital) Rules)

Prescribed Capital Amount

(Unit: in HKD thousands)	As at 31 st December 2024
Market risk (diversified RCA)	23,702,761
Interest rate risk RCA	6,028,493
Credit spread risk RCA	10,571,892
Equity risk RCA	13,038,021
Property risk RCA	630,538
Currency risk RCA	1,317,974
Diversification benefits within market risk	(7,884,157)
Life Insurance Risk (diversified RCA)	6,302,937
Mortality risk RCA	644,823
Longevity risk RCA	11,067
Life catastrophe risk RCA	172,288
Morbidity risk RCA	230,588
Expense risk RCA	1,098,371
Lapse risk RCA	5,530,463
Diversification benefits within life insurance risk	(1,384,663)
Counterparty default and other risk RCA	2,637,730
Diversification benefits among risk modules	(5,758,907)
Operational risk RCA	2,650,450
Adjustment for loss absorbing capacity cap	-
Adjustment for tax effect	(4,512,944)
Any other items which the IA may specify to adjust	-
Prescribed capital amount	25,022,028

- (b) Composition of capital base determined in accordance with the Insurance (Valuation and Capital) Rules

Capital Base

(Unit: in HKD thousands)	As at 31 st December 2024
Unlimited Tier 1 capital	62,439,960
Limited Tier 1 capital	-
Tier 2 capital	3,578,203
Capital base	66,018,163

- (c) Ratio of capital base to prescribed capital amount

	As at 31 st December 2024
Ratio of capital base to prescribed capital amount	264%

5 Statement of Compliance

- (i) I am satisfied with the completeness, accuracy and consistency of the information disclosed in this disclosure statement in respect of HSBC Life (International) Limited;
- (ii) I am satisfied that the information in this disclosure statement is prepared in accordance with the Insurance (Valuation and Capital) Rules and the draft Insurance (Public Disclosure) Rules (subject to any applicable variation or relaxation);
- (iii) The information disclosed in this disclosure statement can be reconciled with the audited specified annual forms of HSBC Life (International) Limited's annual returns for the financial year to which this disclosure statement relates, as submitted under rule 4 of the Insurance (Submission of Statements, Reports and Information) Rules; and
- (iv) I am satisfied that HSBC Life (International) Limited has complied with the capital requirements that apply to it under the Insurance (Valuation and Capital) Rules, during the financial year to which this disclosure statement relates.

Name:	Tsang Pui Shan
Position:	Director
Company Name:	HSBC Life (International) Limited